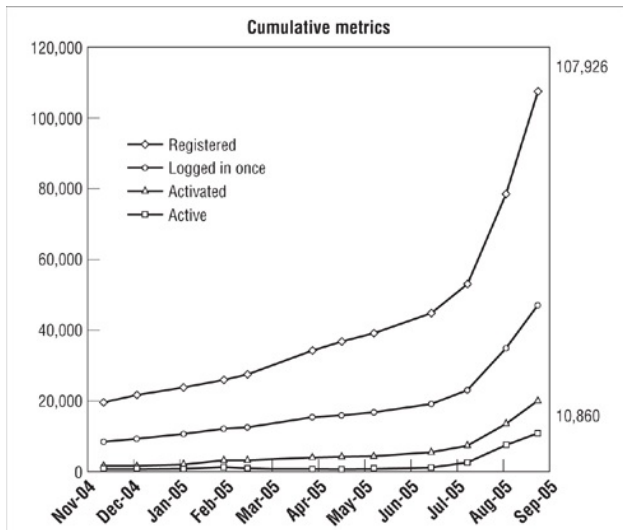


the rosiest possible picture. You'll see a traditional hockey stick graph (the ideal in a rapid-growth company). As long as you focus on the top-line numbers (signing up more customers, an increase in overall revenue), you'll be forgiven for thinking this product development team is making great progress. The company's growth engine is working. Each month it is able to acquire customers and has a positive return on investment. The excess revenue from those customers is reinvested the next month in acquiring more. That's where the growth is coming from.



But think back to the same data presented in a cohort style. IMVU is adding new customers, but it is not improving the yield on each new group. The engine is turning, but the efforts to tune the